

▶ Masterclass Day 5

Stock Market Ecosystem

Understanding the invisible machinery behind every single trade.

SEBI (The Watchdog)

SEBI stands for the **Securities and Exchange Board of India**. Think of them as the Supreme Court and the Police of the stock market rolled into one.

- » **Protecting Investors:** Their primary job is to ensure you, the retail investor, don't get scammed by fraudulent companies.
- » **Regulating Exchanges:** They set the strict rules that NSE, BSE, and all brokers must follow every single day.
- » **Market Development:** They constantly upgrade the technology and policies to make Indian markets the safest in the world.



National Stock Exchange (NSE)

The Modern Behemoth

Incorporated in 1992, the NSE was built to bring transparency. It was the first exchange in India to provide a fully automated, screen-based trading system.

Before this, trading was a chaotic, physical process happening inside a crowded ring. NSE took it digital, connecting investors across the entire country instantly.

The Volume King

While the BSE is older, the NSE dominates the market when it comes to daily trading volume and liquidity, especially in Futures & Options (F&O).

Its flagship benchmark index is the **NIFTY 50**, tracking the 50 largest Indian companies.

Bombay Stock Exchange (BSE)



The Historic Pioneer

Established in 1875 under a banyan tree, the BSE is officially the oldest stock exchange in all of Asia. It laid the foundation for wealth creation in India.

Massive Scale: Even though NSE leads in volume, BSE has the highest number of listed companies in India (over 5,000).

Its flagship index is the **SENSEX**, tracking the top 30 most financially sound companies.

The Depository

In the old days, when you bought shares, you received a physical paper certificate. Imagine keeping track of a piece of paper for 20 years!

A Depository acts like a massive digital bank vault. Instead of holding your cash, it holds your shares, bonds, and mutual funds in **Dematerialized (Demat)** form.

It completely eliminated the risks of theft, forgery, or losing your paper certificates in a flood or fire.



Meet NSDL

1996

YEAR ESTABLISHED

National Securities Depository Limited

Promoted by the National Stock Exchange (NSE) and major institutions like IDBI and UTI.

The First Mover: NSDL was the very first depository to be established in India, successfully transitioning the country from a physical paper market to a modern, digital ecosystem.

Meet CDSL

1999

YEAR ESTABLISHED

Central Depository Services Limited

Promoted by the Bombay Stock Exchange (BSE) alongside major public sector banks.

The Retail Favorite: While NSDL was the first, CDSL has grown massively over the last few years and currently holds the record for the highest number of active demat accounts in India, largely driven by discount brokers.

The Clearing Corporation



The Middleman of Trust

When you buy a share, how do you know the seller will actually deliver it? The Clearing Corporation sits in between every single trade to guarantee it.



Zero Counterparty Risk

It acts as a buyer to every seller, and a seller to every buyer. Even if the person on the other end defaults, the Clearing Corp ensures your trade goes through.



Settlement Mechanics

They handle the complex background math: deducting funds from the buyer's account and moving the digital shares from the seller's demat account.

Stock Brokers

You cannot walk into the NSE or BSE to buy a share. You need a registered intermediary. That is your Stock Broker.

- » **Full-Service Brokers:** Traditional brokers (like HDFC Sec or ICICI Direct) who offer dedicated relationship managers, research reports, and advisory, but charge high commissions.
- » **Discount Brokers:** Modern tech platforms (like Zerodha, Groww, or Upstox) offering a seamless DIY mobile app with zero or flat-fee brokerage. Perfect for beginners.



Depository Participant (DP)



The Agent of the Depository

Just like you can't open an account directly with the RBI (you go to a local bank branch), you cannot open a Demat account directly with NSDL or CDSL. You need a Depository Participant (DP).



Broker = DP

In most modern setups, your stock broker is ALSO registered as a Depository Participant. When you open a trading account with Zerodha, they seamlessly open your Demat account with CDSL on your behalf.



Holding Your Assets

While your broker provides the software to place the 'Buy' button, the actual shares you bought are safely held by the Depository, facilitated through your DP.

Great Job on Day 5!

Tomorrow: Demat & Trading Account.

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